EXECUTIVE SUMMARY

1. Introduction

The Municipality of Claveria, Cagayan was created by virtue of Royal Decree of Spain on June 5, 1865. It is a third class municipality situated on the northwestern coast of the Province of Cagayan.

The audit covered the accounts and operations of the Municipal Government of Claveria, Cagayan for the year 2014 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Claveria for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	P 103,525,727.34	P 107,967,891.72	P (4,442,164.38)
Total Liabilities	26,916,138.08	32,854,128.75	(5,937,990.67)
Total Government Equity	76,609,589.26	75,113,762.97	1,495,826.29
Results of Operation			
Total Income	P 90,608,058.58	P 81,950,024.11	P 8,658,034.47
Total Expenses	63,396,793.97	64,610,870.85	(1,214,076.88)
Appropriations, Allotments and Obligations			
Appropriations	P 112,302,298.83	P 105,467,980.03	P 6,834,318.80
Allotments	112,302,298.83	105,467,980.03	6,834,318.80
Obligations	76,774,304.85	75,834,200.10	940,104.75

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2014	2013	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 0.00	P 0.00	P 0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	4,262.97	4,262.97	0.00
Due from NGOs/Pos	0.00	0.00	0.00
Others	20,788.50	11,339.00	9,449.50
TOTAL	P 25,051.47	P 15,601.97	P 9,449.50
Fund Received from Other Agencies:			
Due to Other NGAs	P 4,587,391.52	P 1,987,365.10	P 2,600,026.42
Due to LGUs	2,273,900.00	1,649,317.76	624,582.24
Due to NGOs/POs	0.00	0.00	0.00
Others	828,395.53	3,122,415.80	(2,294,020.27)
TOTAL	**P 7,689,687.05**	**P 6,759,098.66**	**P 930,588.39**

Operational Highlights

Major Activities/Programs/Projects	***Target***	***Accomplishments***	***% of Accomplishments***
1 Concreting of Provincial Road Shoulder along J.P. Rizal St., Centro 1 (From Cagayan St. to MNR)	P 1,187,671.71	P 1,187,671.71	100%
2 Concreting of Zamora St. between Josue St. and June 5th St., Centro 2 & 3	1,197,610.20	1,197,610.20	100%
3 Concreting of Pinas – Alimoan Road, Pinas	963,006.00	963,006.00	100%
4 Concreting of Zamora St. from June 5th to March 7th St., Centro 1	1,049,160.00	1,049,160.00	100%
5 Concreting of Barangay Roads	2,800,000.00	2,800,000.00	100%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Claveria, Cagayan as of December 31, 2014 due to (a) the recorded balances of Property, Plant and Equipment (PPE) with a total value of P33,720,579.21, were doubtful due to the failure to conduct the physical count and the absence of property records; (b) RPT/SET Receivables amounting to P10,076,681.04 could not be ascertained for lack of certified list of taxpayers and subsidiary ledgers indicating the corresponding amount due and collectibles; and (c) financial assistance amounting to P3,276,000.00 from the provincial government of Cagayan with a specific purpose was recorded as income from grants and donations deposited to the General Fund instead of accruing to the Trust Fund of the municipality.

4. Summary of Significant Findings and Recommendations

The audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **The accuracy. validity, physical existence and condition of the Property, Plant and Equipment account totaling P33,720,579.21 (net of depreciation) as of December 31, 2014 could not be ascertained due to the failure of management to conduct physical inventory and the lack of property documents/records, contrary to Section 119-124 of the New Government Accounting System (NGAS) Manual.**

   We reiterated our previous year's audit recommendations that:

   1. The Local Chief Executive should create an Inventory Committee to conduct the required physical inventory of all properties;
   2. The General Service Officer prepare and submit to the auditor concerned the required Report of the Physical Count on Property, Plant and Equipment (RPCPPE) not later than January 31 of each year;
   3. The Municipal Accountant and the General Services Officer should maintain Property Ledger Cards and;
   4. The Municipal Accountant should reconcile the RPCPPE with the accounting.

2. **The Real Property Tax and Special Education Tax Receivables totaling P10,076,681.04 could not be ascertained for lack of certified list of taxpayers, indicating the corresponding amount due and collectible and the subsidiary ledgers, contrary to Section 20, Volume I of the New Government Accounting System (NGAS).**

   We reiterated our previous year's recommendation that management directs the concerned officials to:

1. Comply strictly with the provision of Section 20, Volume I of the NGAS (for LGUs) regarding the basis of recording RPT/SET Receivable;
2. Prepare certified list of taxpayers based on the Assessment Roll prepared by the Municipal Assessor and;
3. Maintain subsidiary ledger for each taxpayer.

3. **Financial assistance for various infrastructure projects from the Provincial Government of Cagayan amounting to P3,276,000.00 were recorded as Income from Grants and Donations and were deposited under the General Fund account of the Municipality contrary to COA Circular No. 94-013 dated December 13, 1994 and Section 94-95, Volume I of the NGAS Manual for Local Government Units, hence, the funds may not be utilized in accordance with the purpose for which they were intended.**

   We recommended that trust receipts shall accrue to the Trust Fund of the municipality in accordance with Sections 94-95 of the Volume 1, NGAS Manual for LGUs. Likewise, we recommended that the Municipal Accountant make the necessary adjustments on the affected accounts for a fairly presentation of the accounts in the financial statements.

4. **Agricultural Supplies amounting toP1,750,575.00 distributed as loans to farmer beneficiaries were directly charged to Agricultural Supplies Expenses (762) instead of Loans Receivable-Others (173), which may cause difficulty in the monitoring of accounts, thus, increasing the risk of non-recovery/collection and may result to possible loss of government funds.**

   We recommended that the Municipal Accountant record the purchase of hybrid rice seeds as Agricultural Supplies Inventory and the loan granted to farmer beneficiaries as Loans Receivable-Others to fairly present the accounts in the financial statements. Likewise, maintain Subsidiary Ledger for each farmer beneficiary.

   Concerned officers and employees should closely monitor the loans to avoid non-recovery/collection and eventual wastage of government funds, hence the intended purpose of the program will be fully achieved.

5. **Hybrid rice seeds distributed as loans to farmer beneficiaries amounting P383,936.00 had remained uncollected due to the laxity of management to enforce the collection of such loans contrary to Section 2 of PD 1445. Likewise, copies of Memorandum of Agreement (MOA) entered into by the recipients of the loans were not submitted to the Auditor within five (5) working days from its execution contrary to COA Circular No. 2009-001 dated February 12, 2009**

We recommended that management intensify its collections from the beneficiaries. Revisit the covering MOA and remind the debtors of their obligations. Otherwise, charges on penalties and interest shall be enforce without prejudice to the filing of legal sanctions to enforce payment, if warranted. Likewise, the municipal accountant should book-up the loan as "Accounts Receivable-Others", for a fairer presentation of the account in the financial statement.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

6. Status of Implementations of Prior Years' Audit Recommendations

Out of twelve (12) audit recommendations embodied in the 2013 Annual Audit Report, two (2) were fully implemented, four (4) were partially implemented and six (6) were not implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in Part III of this report.